CLASS 10 — SOCIAL SCIENCE · EASY LEVEL CHAPTER TEST SET 2

Chapter 19: **Money and Credit (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Easy level: direct, single-step questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. A bank account from which money can be withdrawn at any time is a: 1

(a) fixed loan **(b)** barter **(c)** demand deposit **(d)** collateral

2. Loans taken by farmers for seeds and fertilisers are meant for: 1

(a) gifts **(b)** luxuries **(c)** paying taxes **(d)** production

3. Which of these is a medium of exchange? 1

(a) collateral **(b)** interest **(c)** debt **(d)** money

4. A paper instruction to a bank to pay a specified amount to a person is a: 1

(a) barter **(b)** note **(c)** cheque **(d)** loan

5. A bank is a: 1

(a) formal source of credit **(b)** informal source of credit
(c) barter shop **(d)** collateral

6. Why do people keep their savings in banks? 1

(a) to make loans **(b)** to pay tax
(c) to avoid interest **(d)** safety and interest

7. Which institution supervises banks in India? 1

(a) moneylenders **(b)** Reserve Bank of India
(c) local panchayat **(d)** cooperative

8. The interest rate on deposits is usually: 1

(a) zero **(b)** higher than on loans
(c) lower than on loans **(d)** the same as on loans

9. A situation where a borrower cannot repay the loan and falls deeper in debt is called a: 1

(a) debt trap **(b)** demand deposit **(c)** cheque **(d)** collateral

10. Members of a Self-Help Group: 1

(a) pay taxes **(b)** save regularly and lend to each other
(c) take no loans **(d)** print notes

SECTION — B (Very Short Answer Type) 4 × 2 = 8

Answer in about 20–30 words each.

11. What is a medium of exchange? 2

12. What is a Self-Help Group? 2

13. Name two formal sources of credit. 2

14. What is a debt trap? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. How do formal sources of credit differ from informal? 3

16. What are Self-Help Groups? How do they function? 3

17. Why must cheap credit be made available? 3

OR

What are the terms of credit? 3

18. What does the law say about the rupee? 3

OR

How does credit help a farmer? 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. Why do we need more formal credit in rural India? 5

OR

Write a note on the Grameen Bank and Self-Help Groups. 5

20. Describe the terms of credit. 5

OR

Explain how credit can be both useful and harmful. 5

END OF QUESTION PAPER — Total: 40 Marks

MASTERMIND